

Breakthrough Economy

New Zealand's economy is stuck in low gear. But we have the talent, resources, and opportunity to shift up.

Our economy pays New Zealanders' wages, funds our retirements and generates tax revenue for essential public services. There is a reason our young people are leaving for jobs in Australia: persistently higher economic growth across the ditch has compounded into a 35% gap in per capita GDP.

But there are good and bad ways to grow the economy. Mining the conservation estate and trawling our ocean-floors are short term solutions, and the economic, social and environmental bills are coming due.

New Zealand has the potential to take another path. Modern, high-skill jobs in sectors like research, software and high-tech manufacturing generate more economic value, overcome our distance from major markets and offer better wages and conditions for New Zealand workers. They also have far less of an impact on our environment, and in many cases can contribute to solutions to improve it.

1. Build New Zealand's Innovation Engine

Just like starting a business, building the future economy New Zealanders deserve will require us to invest: in the science, innovation and skills that breakthrough companies need to thrive.

New Zealand spends only 1.5% of GDP on public and private research and development—about the same as Poland and Turkey. The OECD average is 2.7% and high-tech frontier nations spend upwards of 3%.

This leaves our businesses and overall economy less productive and means we struggle to turn ideas into commercial products, productivity gains and high-wage jobs. Our export base remains stubbornly weighted towards volume-driven physical goods and dependent on fluctuating international prices for those goods. We need to get serious about becoming a high-tech innovation-driven economy.

We are lucky to have a well-educated workforce that we already invest heavily in, but many graduates head offshore to higher-paying labour markets, often carrying large student debt that makes it harder for them to return. There are also overseas skills we need to harness.

1.1 Boost core science and technology transfer funding

At Opportunity we want a long term strategy to boost the level of R&D in New Zealand. We will re-commit to the previous target of 2% of GDP (with at least 0.6% made up of public science) within the next ten years. But we will also set a longer-term objective of 3% of GDP by 2050 to match the high-tech frontier economies we want to emulate.

The Save Science Coalition estimates recent cuts to core science have totalled at least \$90 million in annual operational funding and have resulted in the loss of 550 science sector jobs. The Fellows of the Royal Society have identified \$300 million in total funding cuts. While enhanced focus on advanced technology is laudable, this should not come at the expense of other research sectors. To get our core science sector back on track we will:

- Restore funding cut as part of science sector reorganisation in 2024
- Further expand total science funding to meet inflation-adjusted 2018 levels, by boosting the major contestable funds and creating a new early and mid-career research support fund
- Ensure that future contestable research funds include the humanities and social sciences

1.2 Tax credits for technology adoption

Our current R&D tax credits deliver good returns, but stop short of incentivising companies to make the big investments needed to roll out cutting-edge technology and don't incentivise stronger cooperation between private and public researchers. To bridge this gap we will introduce a new tax credit scheme.

It will allow claiming back as a tax credit up to 25% of the cost of rolling out high-tech solutions such as AI and digital platforms, new plant and machinery and networked or autonomous equipment.



1.3 Make polytechnics an engine for technology-driven growth

Polytechnics can be regional anchors for practical, job-focused training, as well as working directly with businesses to solve technical problems, access new export markets and disseminate scientific expertise. To unlock the potential of polytechs to level-up our regional businesses we will:

- Restore the entirety of the baseline funding for Polytechs cut by the current Government and direct this funding towards training focused on core business skills such as market development, accessing export markets, managing cashflow and accessing finance
- Bulk-fund polytechnics and public research organisations—up to \$10,000 per business enquiry - to work with real-world business problems
- Empower polytechs with a mandate to lead regional productivity growth, including by acting as hubs for sector-level initiatives

1.4 Double funding to incubator, accelerator, and deep tech programmes as well as young enterprise

Opportunity will double total Government funding to the start-up ecosystem, including existing and new incubator and accelerator arrangements and the young enterprise programme.

It appears that these programmes have been successful in crowding in private investment and increasing the survival of start-ups and helping them grow, but the monitoring and evaluation has been weak. We will closely evaluate the impact of these programmes, and undertake a systematic review to prepare the ground for possible further expansion.

1.5 Create a world-class environment for safe AI adoption

By robustly regulating AI and supporting widespread business adoption, we can seize the productivity opportunity it affords. Our dedicated AI policy will provide more detail.

1.6 Forgive Loan Interest to Bring Kiwi Talent Home

We want to encourage young Kiwis to go offshore, get experience and build connections. But we also want to bring all that back home and use it to drive the New Zealand economy.

We will roll back student loan interest on up to 3 years spent overseas, for both those newly graduating at present and those currently overseas. The roll back will be applied at the end of loan repayment, and conditional on being resident in New Zealand when the loan is repaid.

1.7 Agree a population policy for stable long-term immigration

Immigration can bring expertise, energy and capital to the New Zealand economy. We need to attract the best and brightest globally to come and help us build a breakthrough economy.

But immigration also needs to be accounted for in our investment in infrastructure, planning and social programmes. It hasn't in recent decades.

The solution is a long term population strategy. This will set out the population outcomes we want in the long-term, with average net migration outcomes to match. Businesses, unions, NGOs and ordinary New Zealanders should have a say in what the future of our population looks like, but at Opportunity we think moderate sustained positive migration is the way to go.

2. Stand up for consumers

New Zealand's economy is increasingly shaped by sectors where a handful of large companies dominate. In these concentrated markets, big incumbents enjoy scale, political access, regulatory influence and weak competition law, which makes it hard for new entrants to gain a foothold. Market concentration in banking, supermarkets and building materials cost the average household \$30 every single week. It also suppresses productivity growth by reducing competitive pressure to innovate and improve efficiency across our economy.

2.1 Strengthen Competition Law and Enforcement

New Zealand has one of the weakest competition regimes in the world. This has enabled concentration and excessive profits in many critical business sectors such as banking, supermarkets, insurance, building supplies, aviation and utilities. This doesn't just result in higher prices for consumers; it acts as a drag on the overall economy. Smaller dynamic firms cannot get a foothold, or are themselves bled dry by excessive costs.

To bring market competition back to the New Zealand economy, Opportunity will strengthen the Commerce Commission's powers and independence by enabling it to:

- Break up dominant companies where competition has clearly failed. The Commerce Commission will be able to ask the High Court to order the sale of assets, separate business operations, or require access to key infrastructure when market power has become too concentrated and other remedies have failed.



- Use an expanded toolbox to fix competition problems in industry-appropriate ways, including industry-wide remedies following a market study or where there is tacit collusion and binding commitments as part of market dominance investigations.
- Proactively investigate industries where competition is weak. The Commerce Commission will have greater freedom to launch investigations and market studies where there are signs that consumers and smaller businesses are being disadvantaged.

In addition, Opportunity will create a Consumer Advocacy Fund - a dedicated fund to support independent consumer representation in major market reviews, regulatory processes and competition investigations. This would help ensure consumers are represented as effectively as large corporate interests.

Strong competition is one of the most effective ways to reduce prices, increase innovation, lift productivity and improve living standards. These reforms would give New Zealand a competition regime comparable to those found in many of the world's most productive small economies such as Denmark, Finland and Ireland.

3. Power up small business

Our economy is built on small businesses, and they have the potential to drive the breakthrough economy. But they need support to address key skill and capability gaps.

Our current corporate form rules also mean that companies are driven to prioritise profit above all else, while non-profit organisations and charities lack the business models and structures to access finance for growth.

3.1 Get serious about supporting SMEs

Most SME operators—particularly sole traders and micro enterprises—are under-capitalised, time-constrained and operationally focused.

To support SMEs more effectively, we will:

- Fund FinCap and the Building Financial Capability sector to provide simple financial and accounting advice to small businesses. Many small businesses are financially intertwined with their owner-operators, and household budgeting needs can have business issues underlying them. Building capability among budgeting services to meet this need is a practical way to improve the business capabilities of small businesses and the New Zealanders who put their hearts and souls into them.
- Review the ACC levy system with a view to introducing risk-weighted levies for those engaged in multiple different work activities.
- Reverse the Retail Payment System (Ban on Merchant Surcharges) Amendment Bill if passed, and review competition within our payment infrastructure generally.
- Make the R&D tax credit more accessible by introducing processing time requirements and a special track with simplified compliance requirements for spending below \$250,000 and improving outreach and support to smaller

businesses, especially in high value manufacturing. Develop innovation access programmes to enable smaller companies to participate in R&D as part of consortia and alongside CRIs, universities and polytechs.

3.2 Structure for Purpose

There is a gap in New Zealand for a legal entity structure that both drives the economic growth of a traditional for-profit company and delivers the social benefits of a charitable organisation.

We will amend the Companies Act to establish a new legal structure: the Impact Company. Similar structures already exist overseas including in the UK, Canada, United States, and Italy.

To qualify as an Impact Company, a business will need to state an explicit social and/or environmental purpose in its constitution and publish annual Impact Reports that account for social and environmental outcomes.

To encourage growth in new impact sectors, we will also enable companies or individuals that invest in Impact Companies to deduct the investment as they would a donation to charity, up to a maximum of \$100,000 annually.

4. Frequently Asked Questions

How much will this cost?

The total estimated cost to the Crown of this policy is \$1.33 billion of additional annual operational funding. This is made up of the following components:

Policy Element	Annual Cost	Assumptions
Restore core science operational funding cut in recent budgets	\$125 million	Aggregate figures from the Save Science Coalition and public reporting suggest total cuts (including the non-replacement of the National Science Challenges) of around \$125 million per annum.
Tax credit for technology adoption	\$600 million	Uptake is difficult to predict. This cost estimate is roughly the current total annual cost of the current R&D tax incentive. We expect some substitution effect between the two programmes.
Funding for early and mid career researchers	\$100 million	This figure is a rough estimate for a credible initial programme.
Expanded funding to major contestable funds	\$175 million	Inflation adjusting 2018/2019 figures for Vote Science gives a total of \$1.574 billion, around \$400 million more than current funding levels. Accounting for the restoration of explicit cuts and additional targeted spending on early and mid career researchers this still leaves a shortfall of approximately \$175 million.
Restore Polytech Funding	\$80 million	Public reporting indicated that Te Pūkenga's funding for 2025 had been reduced by \$80 million, resulting in large scale layoffs.

Policy Element	Annual Cost	Assumptions
Polytech and PRO bulk funding for business support	\$20 million	Uptake is difficult to predict. This figure assumes 2,000 enquiries across Polytechs and PROs at the full \$10,000 value the programme enables.
Double funding of incubators, accelerators and youth enterprise initiatives	\$26.5 million	Annual costs are hard to estimate as expenditure is a mixture of repayable grants and standard operational funding. We have assumed a doubling of the entire \$20 - 25 million grants programme formerly operated by Callaghan Innovation. Doubling current Ministry of Youth Development enterprise programmes represents a further \$1.5 million.
Student Loan Working Overseas Forgiveness	\$95 million	Total overseas loan balances of approximately \$4.3 billion imply headline interest accrual of \$170-\$215 million annually. Much of this is paper accrual against loans in default, but borrower behaviour could change with a forgiveness programme. We have conservatively assumed half of the total interest accrual as annual programme cost.
Commerce Commission Budget Uplift	\$20 million	Current total budget (including levy revenue) is approximately \$90 million - reasonably generous by international standards. Additional funding is an arbitrary figure of around 20% of current funding to account for additional enforcement activity.
Consumer Advocacy Fund	\$5 million	This figure is roughly based on comparisons to the now-disestablished Consumer Advocacy Council for electricity, the MBIE appropriation for Consumer Information and overseas comparators.
Expanded FinCap capability to support small business owners	\$20 million	The Ministry of Social Development provides \$19.5 million of sustainable funding for 181.5 FTE financial mentoring roles. Doubling this funding would enable a similar number of staff to enable nationwide coverage for business mentoring services, although these would realistically be integrated with existing financial mentoring functions.
Widened R&D tax credit	\$30 million	Additional uptake is hard to predict but is likely to be small as changes target improving access for smaller businesses. Current expenditure on R&D tax credits is approximately \$600 million (24/25 Supplementary Estimates). Additional \$30 million represents an arbitrary 5% expansion.
Tax deductibility for impact company investments	\$34 million	Uptake is difficult to predict. This figure assumes 1,000 investors at the maximum allowable deduction of \$100,000 (for a total of \$100 million of annual investment) and with an average marginal tax rate of 34%.

Elements not included in the above table involve legislative or policy changes that are likely to impose very limited operating costs that could be absorbed within departmental baselines.

How can you claim to deliver additional annual GDP growth?

Predicting the growth impacts of policies is not straightforward. We estimate our mix of policies could deliver up to 2% additional GDP growth on average over the long term. Comparator small economies such as Singapore and Estonia have sustained similarly high growth rates over multiple decades.

Productivity Unleashed and many of our other policies are in line with expert advice from the likes of Treasury and the OECD on high impact pro-growth reforms for New Zealand.

Our [Abundant Energy](#) policy will make energy prices for businesses both lower and more stable, unlocking opportunities for a wide range of energy intensive businesses such as data centres and manufacturing. Our [Tax Reset](#) policy will redirect significant capital from unproductive housing investment and significantly increase our saving rate over time. It will also work together with our [Affordable Housing](#) policy in the long term to improve the functioning of our urban spaces and the businesses that operate and grow within them.

Productivity Unleashed invests substantially in three areas that are repeatedly cited by the OECD as drivers of New Zealand's poor productivity and GDP growth performance: innovation, competition and skills. Some indication of the impacts that could be realised include the following:

- Government science spending is well-established to “crowd in” private spending on R&D - enhancing its impact. Estimates of the total economic effect of government science spending tend to come from larger OECD economies with deeper capital pools and more R&D intensive industries compared to New Zealand, but can range as high as a 3 - 4x multiplier.
- The impacts of better competition law and enforcement, even in jurisdictions like New Zealand with relatively developed existing frameworks, is well established. The UK's Competition and Markets Authority [summarises](#) a range of this evidence.
- MBIE [analysis](#) has looked at the economic impact of measures such as R&D and commercialisation spending. It found the impact of the former Growth Grants (similar to our proposed polytech funding arrangements) delivered an economic multiplier of 1.22-3.65.
- A widely cited [estimate](#) for Denmark suggested a peak contribution to total factor productivity growth from generative AI of up to 1.5%

What has the current government's record on innovation been like?

The current government has moved in the wrong direction by cutting core Crown science and innovation funding from a system already under strain. Budget 2024 removed hundreds of millions from the Science, Innovation and Technology portfolio. It allowed inflation to erode baselines, wound up the National Science Challenges programme, and cancelled future rounds of several key funds. Experts estimate this

has contributed to hundreds of job losses across universities and Crown Research Institutes. These cuts weaken the pipeline from discovery science to commercial innovation, reduce New Zealand's capacity to respond to long-term challenges like climate change and biosecurity threats, and send the wrong signal to businesses the very moment we need them to increase their own R&D investment.

Isn't this a dramatic shakeup of our competition law?

Yes. We think the current state of competition in many business sectors warrants a shakeup, rather than continued tinkering like the current Commerce Act Amendment Bill before Parliament.

New Zealand's competition regime is largely modelled on Australia's and together we are near-unique among developed nations in lacking robust remedies like the ability to break up monopolies, impose industry-wide conduct obligations or address tacit collusion. This has led directly to our near-unique market concentration and super-profits.

Our proposal is modeled on provisions recently introduced in the EU and UK; both regarded as highly effective competition regimes.

Why not break up the banks and supermarkets?

Opportunity is open to the concept of structural separation of industries like banking, supermarkets and electricity generation. However structural separation is a blunt instrument that always imposes significant costs and market disruption. We think it should be done on the basis of expert analysis, and supervised by the Courts. In some cases structural separation might be imposed, but more importantly, the threat of the Commerce Commission using it will improve market behaviour across the board.

Giving the Commerce Commission the power to fight the monopolies in the High Court means they can also go after the many other highly concentrated sectors that don't receive much political or media attention, but do impose significant costs on New Zealand consumers.

